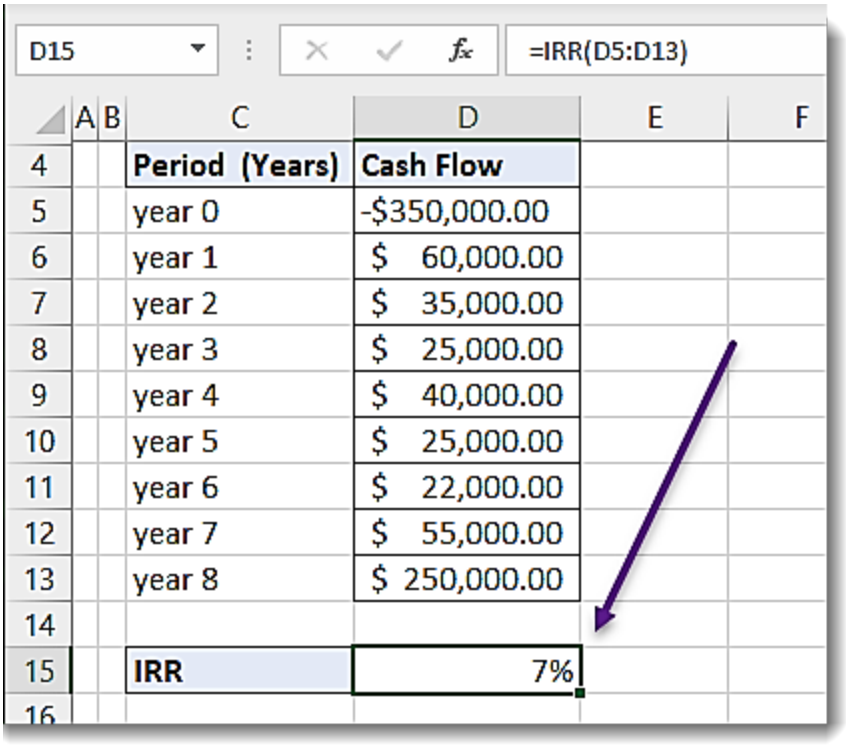


This is the rate of return that the investment's net present value will become zero. So you can now compare the Cost of Capital with the IRR to determine if it is profitable or not.